

Multiple Choice (10 marks)

1. Suppose the government seeks to achieve a balanced budget by levying taxes of 100 billion and making expenditures of 100 billion. How will this affect NNP if $MPC = 0.8$?
 - (a) Decrease of \$500 billion in NNP
 - (b) Increase of \$500 billion in NNP
 - (c) Decrease of \$100 billion in NNP
 - (d) No change in NNP because taxes cancel out expenditures
 - (e) Increase of \$200 billion in NNP
2. In what ways is contractionary fiscal policy in the United States likely to affect domestic interest rates and the international value of the dollar?
 - (a) Interest rates increase and the dollar depreciates.
 - (b) Interest rates remain the same and the dollar depreciates.
 - (c) Interest rates decrease and the dollar appreciates.
 - (d) Interest rates and the value of the dollar both remain the same.
 - (e) Interest rates increase but the value of the dollar remains the same.
3. For a competitive firm, what is the most important thing to consider in deciding whether to shut down in the short run?
 - (a) Do not produce if the TFC is not covered by revenue.
 - (b) Do not produce if the price is lower than AVC.
 - (c) Compare AVC to MR.
 - (d) Compare AFC to MR.
 - (e) Shut down if the firm is not making a profit.
4. A competitive market for coffee, a normal good, is currently in equilibrium. Which of the following would most likely result in an increase in the demand for coffee?
 - (a) The price of coffee machines rises.
 - (b) The wage of coffee plantation workers falls.
 - (c) The price of tea rises.
 - (d) A decrease in the popularity of energy drinks.
 - (e) Technology in the harvesting of coffee beans improves.
5. Why are slight differences in growth rate percentages so important?

- (a) They signify shifts in currency exchange rates
- (b) They are indicative of immediate changes in consumer confidence
- (c) They determine the exact size of the workforce
- (d) They indicate economic stability
- (e) They show population change

True / False (10 marks)

Answer True or False

- 6. True or False: The elasticity of supply is typically greater when producers have less capital to invest.
- 7. True or False: When the U.S. dollar appreciates, U.S. residents are more likely to take vacations in foreign countries due to lower foreign prices.
- 8. True or False: Wage earners gain from anticipated inflation due to rising wages that outpace inflation, increasing their purchasing power.
- 9. True or False: Models in economics always lead to increased data accuracy and improved decision-making outcomes for policymakers.
- 10. True or False: International trade and subsidies competition are the primary reasons for advocating special policies for farmers.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the relationship between average product (AP) and marginal product (MP) of labor, explaining how changes in MP influence AP and the implications for production efficiency.
- 12. Discuss the inefficiencies associated with a monopolistically competitive firm's profit-maximizing equilibrium, particularly focusing on how marginal cost being below price affects societal welfare and output levels.

End of Paper